

destroyed about three-quarters of the margin above funded debt which bondholders were formerly entitled to have maintained before dividends could be paid. In subsequent years large sums were disbursed in preferred dividends that otherwise would have been held or invested to make good the bondholders' "cushion."

Similar reductions were made by New York Shipbuilding Corporation; Servel, Inc.; Warner Brothers Pictures, Inc.; H. F. Wilcox Oil and Gas Company; Thermoid Company. National Acme Company reduced the par value of its capital stock twice, from \$50 to \$10 in 1924 and from \$10 to \$1 in 1933. The result was a telescoping of its stated capital from \$25,000,000 into \$500,000. In the case of Capital Administration Company not only was the stated value of the common stock reduced, but the \$3 cumulative preferred stock was also given a fictitiously low par value of \$10.

Some Issues Protected Against This Danger. Fortunately for the bondholders in some of these cases, the indentures contain provisions prohibiting dividends or other distributions to the stockholders unless there is an adequate margin of resources above the indebtedness. In the case of Remington Rand Debenture 5¹/₂s, a threefold protection was supplied by the terms of the trust indenture, *viz.*:

1. Cash dividends may be paid only out of earned surplus.
2. Cash dividends may be paid only if net tangible assets after deducting the dividend in question shall equal at least 175% of the funded debt.
3. No stock may be retired, in excess of \$3,500,000, except out of additional paid-in capital or earned surplus.

The last provision is directed against the reduction of junior capital by buying in preferred or common stock. It would be more satisfactory if it prohibited the *acquisition* (rather than the *retirement*) of the company's own stock.

Protective provisions of these various kinds appear in many but by no means all indentures. (They are absent, for example, in the case of Lexington Utilities, New York Shipbuilding, and Servel bonds, to name three of the companies that reduced their stated capital by stockholders' vote.) From the foregoing discussion, it should be clear that these covenants are essential to the proper safeguarding of a bond issue.